

THE Church AND THE Usurers

Unprofitable Lending  
FOR THE Modern Economy

BRIAN M. MCCALL



*Sapientia Press*  
of Ave Maria University

*To Marie Elaina, my wife of twenty-one years, who has been my most faithful support from my graduation from Yale, through law school and my demanding law practice, to Europe and back, and now in my academic career.*

*The Church and the Usurers: Unprofitable Lending for the Modern Economy*

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First Edition, First Printing.

Sapientia Press

of Ave Maria University

5050 Ave Maria Blvd.

Ave Maria, Florida 34142

888-343-8607

ISBN: 978-1-932589-64-1

Library of Congress Control Number: 2013935475

Library of Congress Cataloging-in-Publication Data

McCall, Brian M. *The Church and the Usurers: Unprofitable Lending for the Modern Economy*. Includes Index.

Cover Design: Eloise Anagnost

Cover Image: *Jesus expels the money changers from the temple*, by DiBondone Giotto.  
Alfredo Dagli Orti/The Art Archive at Art Resource, NY

PRINTED AND PUBLISHED  
IN THE UNITED STATES OF AMERICA

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## Acknowledgments

PARTS of chapters 1, 3, 4, 5, and 7 were originally published as part of the article "Unprofitable Lending: Modern Credit Regulation and the Lost Theory of Usury," in *Cardozo Law Review* 30 (2008): 549-615.

Parts of chapters 3 and 6 were originally published as part of "Learning from Our History: Evaluating the Modern Housing Finance Market in Light of Ancient Principles of Justice," in *South Carolina Law Review* 60 (2009): 707-26.

Parts of chapters 4 and 7 were originally published as part of "It's Just Secured Credit: A Natural Law Case in Support of Some Forms of Secured Credit," in *Indiana Law Review* 43 (2010): 7-44. This article was reprinted with permission from the *Indiana Law Review*.

I would like to thank each of these journals for originally publishing these articles.

I would like to express my gratitude to the University of Oklahoma for providing various summer research grants that were used in part to conduct this research. I am also grateful to the following students for their research and editing assistance: Stephen Albright (RIP), Sahar Jooshani, Gerard Keiser, Taylor King, Gregory Mulkey, Amanda Stobaugh, and Zachery West.

## Preface

THE causes of the economic crisis that began in 2008 and which continues today (in 2012) are the subject of dozens of books and thousands of articles. Everyone has on their minds questions about what will lead to economic recovery. And most want to understand what got us into this crisis in the first place so that laws and regulations can change in a manner that would prevent such a crisis from happening again.

The root cause is usury. Few understand this. Indeed, few would even use the term. Debt, both personal and government, compounds at rates of interest that exceed the growth rate of the economy. Consequently, it becomes harder and harder for people and governments to pay their debts because average salaries increase at the rate of economic growth (minus population growth). Massive defaults and an economic crisis would have occurred years ago, but for the fact that interest rates have continued to decline since the early 1980s, making it less costly to finance a given magnitude of debt, or, rather, enabling people to carry larger and larger debt loads with equal monthly payments. Nevertheless, the rate of interest on people's mortgages and credit cards has continually been higher than the growth rate of the economy (or the growth rate of their salaries), and so it has continued to become more and more difficult to pay it off. When debts rise faster than assets, at some point bankruptcy is inevitable.

This process of inevitable bankruptcy remained invisible. As interest rates decline, the price of assets (such as stocks, bonds, and houses) rises. This is true because stocks represent the net present value of a stream of future

dividends, and if the interest rate is lowered, future earnings are discounted less and so the total looks higher, causing stock prices to rise. Bond prices function inversely to the rate of interest. Housing prices are a function of demand, and the demand is a function of a potential home owner's ability to make monthly payments. As mortgage interest rates are lowered, monthly payments are lowered for a given house price. Therefore, a given salary can afford a higher house price because of lower mortgage rates. This process fueled the housing bubble. As stocks, bonds, and housing rose, people felt richer and so they spent more, refinancing their homes and withdrawing cash from such places as an ATM machine, and sometimes margining their stocks (borrowing against them) to finance their livelihood. Total demand, and hence employment and GDP, continued to rise, and no one became the wiser despite the fact that a larger and larger percentage of the population was financing their livelihood through debt.

Eventually and inevitably, when their debt, through compound interest, reached levels that warranted some reduced spending even with inflated asset prices, people decided to pull back on their spending and the economy came down like a house of cards, including asset prices. This was the root of the housing bust, which would have occurred eventually even if the bubble had not been blown up to the size that it was due to subprime lending.

What we have experienced since 2008 is the end of the debt super cycle (or usury cycle) that began at the end of World War II. The housing price collapse, along with the stock market collapse, wiped out a massive amount of paper wealth. People's debt burdens now suddenly seemed much larger. And so they sought to cut back on spending even more. But when everyone tried to spend less at the same time, there was not sufficient demand to warrant continued production at the same rate, and so many people were laid off and plants shut down. Unemployment rose, more people attempted to save out of fear of being laid off, and the cycle fed on itself into a depression.

The Federal Reserve, the central bank, tried to restimulate demand through borrowing by lowering interest rates. But this time, the magnitude of the debt already owed was so large that even at zero interest people did not want to borrow. Central bank efforts were ineffective. The debt super cycle came to an end.

The last debt super cycle ended with the Great Depression. In the 1930s the government sought to help the economy recover by introducing

a wide variety of spending programs. All these did was cause temporary economic relief and increase the government debt; by 1938 the unemployment rate was still over 20%.

It took World War II to end the Great Depression. Or, more precisely, World War II was the means by which everyone who was unemployed was given a job, and the masses were forced to save due to war rationing. By the end of the war, the average American had little debt and a lot of savings. Those widely distributed savings were the source of a new economic prosperity that began after the war and continued, with only minor recessions (and an external oil shock), until the crisis in 2008.

World War II was financed through government borrowing, leaving US federal debt as a percentage of GDP at its all time highest level at the end of the war. To reduce the magnitude of that debt, the Treasury Department forced the Federal Reserve to hold US Treasury yields on its 10-year bond to below 3% for the entire period from 1942 through 1951. When taking inflation into account, this provided a negative 4.5% annual after-inflation yield.<sup>1</sup> In other words, they deconcentrated the wealth away from the bond holders. This helped restore a wide distribution of wealth and aided in the process of long-term economic prosperity.

The way out of the current economic crisis is the same path taken to get out of the last economic crisis: through a wider distribution of the wealth of the nation. A wider distribution of wealth means a larger demand (the rich only need so much and, hence, only buy so much), which in turn means more production and employment.

But how can we have a nation with a wider distribution of wealth? All the talk about tax cuts and the like are insufficient to address the magnitude of the current problem, even while they are steps in the right direction, because they only address income and not wealth. We need not start World War III to infuse sufficient amounts of money into the hands of the masses. Rather, it can be accomplished through the restitution of funds taken from people by banks and other lenders in the form of excess interest, or usury. The magnitude of usury paid by the federal government alone since 1950 exceeds \$6 trillion.<sup>2</sup> If we were to add usury paid by individuals on their credit cards

<sup>1</sup> *Wall Street Journal*, January 14–15, 2012, B10.

<sup>2</sup> Interest rate and inflation data are obtained from the website of the Federal Reserve Bank of St. Louis, [research.stlouisfed.org/fred2/](http://research.stlouisfed.org/fred2/), accessed October 30,

and home mortgages<sup>3</sup> since 1950, the total would exceed \$15 trillion, or more than the total personal debt of the nation, which is a little under \$14 trillion.<sup>4</sup> And that does not even include the usury paid by municipalities and states, which, of course, have been paid by their taxpayers. Restoring these funds to the people—funds that were unjustly taken from them over the years by having them pay usurious interest on their loans—would, on average, eliminate personal debt. It would also provide most people with significant savings.

But, how can we prevent the reconcentration of wealth so as to avoid a future economic crisis? When the rate of interest that people and governments pay exceeds the growth rate of the economy, this usury mathematically guarantees that the wealth of the debt holders grows at a faster rate than the wealth of everyone else. Since most debt holders are rich, wealth is guaranteed to become more and more concentrated into the hands of the few. Usury concentrates wealth. As in the 1940s, the Federal Reserve can again be forced to hold bond yields below the inflation rate for the entire decade of the 2010s. That would help, but it would not affect the usury

2012. Since the federal government can print its own money, there is no risk that it will not pay back lenders. Consequently, it is considered a risk-free loan and any risk premium is usury. Lenders have the right to be made whole, and so they have the right to demand repayment in money with the same purchasing power that they gave up. Hence, they can legitimately earn the rate of inflation on money lent to the US Treasury without that being usury. The magnitude of usury paid by the federal government on its debt is calculated by subtracting the inflation rate from the interest rate and then multiplying that remaining rate by the magnitude of its debt that year. Sum this up for all years. From 1950 until today the amount of usury paid is in excess of \$6 trillion.

<sup>3</sup> This is calculated based on mortgage interest paid above that which was necessary to cover the cost of inflation, and credit card interest payments on interest that exceeds 2% above the inflation level, 2% being an estimate on the risk premium necessary to cover defaults and make the lenders whole. This is based on an expected default rate of 2%, which is lower than the average of 4.5% over the past twenty years. However, a large percentage of those defaults can be attributed to the fact that the interest rates they have been paying are usurious, and so they never get around to paying the principal. It can be guaranteed that the default rate on non-usurious credit cards would be, and would have been, lower than the default rate on usurious credit cards.

<sup>4</sup> "Total Liabilities—Balance Sheet of Households and Nonprofit Organizations," Federal Reserve Bank of St. Louis, last modified September 21, 2012, accessed October 30, 2012, [research.stlouisfed.org/fred2/series/TLBSHNO?cid=32258](http://research.stlouisfed.org/fred2/series/TLBSHNO?cid=32258).

related to personal debt and home mortgages. Only through the passage of usury laws that make it illegal and punishable to charge usurious rates on mortgages and credit cards will a more just distribution of wealth be maintained over the long run. Otherwise, its reconcentration is inevitable.

But this begs the question: what is usury? If we are to pass laws against usury, we need to know how to define it and what the laws need to say. We need to be able to discern the difference between lenders being compensated for loss and lenders earning usury and the difference between money being invested in a corporation in exchange for a fixed rate of return—provided that there are returns sufficient to cover that—and money being lent at compound interest irrespective of the success of the business.

Professor McCall does us a great service by addressing these questions in his book.

Usury is not a simple topic to understand. It is like completing a sudoku puzzle. One must spend time and deep thought in order to understand what is and what is not usury. But when you have completed the process, like with a sudoku puzzle, you recognize that the solution could be no other way. Professor McCall does a lot of that hard work for the reader. This book remains intellectually challenging because the topic is new, or at least new to the modern reader.

In fact, the topic is very old. There is a significant body of literature that extends over a thousand years discussing usury, what it is and what it is not. Professor McCall siphons that massive literature down to the few key points that distinguish an immoral loan from an investment. Some of the fine points also raise the issue of a just price. Although I would disagree with Professor McCall as to where he draws the line between usury and a violation of the just price, I agree with all his conclusions about what is immoral and what is licit.<sup>5</sup> In fact, few thinkers who have attempted to tackle this issue have come up with the consistency of right answers that Professor McCall has. This is probably one of the top three books written in the past two hundred years on usury.

<sup>5</sup> In truth, usury is a subset of just price violations. Where to draw the line is more of a semantic issue as long as one fully understands the doctrine of the just price. Because this doctrine is difficult to understand in all its nuances, I prefer to allocate the term "usury" strictly to compound interest. If it does not compound, it isn't usury; but it may still be a violation of the just price.

At the end of this book the reader will be rewarded with a deep understanding of a topic that he probably knew nothing about before. And he will have answers to some of the most important questions of our time.

Anthony Santelli II, PhD  
CEO, AES Capital  
Founder and Board Member,  
Catholic Finance Association

## CHAPTER ONE

# The Question of Change

WHY would I write a book about laws that have been consigned to the past and theories that have been dismissed as outdated? I commenced the research leading to the composition of this work with two reasons in mind. First, our financial and monetary system appears unsustainable. There were early warning signs of this danger when I set out in 2006. They became more pronounced as my research progressed. The subprime mortgage, bubble burst. The credit markets froze and the taxpayers were called on to dole out hundreds of billions of dollars to “bailout” the usurers who had been lending at profit for years, and who then held the world economy hostage until they were extracted from the debris of their own exploding bubble. Despite our nation’s weathering of this latest storm for the moment, I remain convinced that the game has merely been reset, at great expense, and unless our philosophy of credit changes, we are merely in the lull before the next crisis. As Richard Weaver argued in his profound mid-twentieth-century commentary on modern civilization, ideas have consequences.<sup>1</sup> Economic crises result from economic philosophy. To some the phrase “economic philosophy” may be considered an oxymoron. Economics is a technical, dry subject devoid of philosophical meaning. It is to be applied by technicians. Yet, all economic activity, as originating in human action, has philosophical implications. The collection of economic data (what has happened) may be a mere technical activity. Yet, the evaluation of that data to

<sup>1</sup> Richard M. Weaver, *Ideas Have Consequences* (1948; repr., Chicago: University of Chicago Press, 1984).

answer questions about what economic activity we should undertake, and more precisely what types of economic activity should be circumscribed by law and in what way, are philosophical questions. As a result, our economic prospects will only change when our ideas change. The crisis we are still bailing out of is a result of a rejection of one of the oldest legal and philosophical theories on the nature of credit. What has been the consequence of this rejection? It has been an ocean of debt in which Americans are drowning.

The twentieth century has seen an explosion in the levels and costs of consumer credit. In 1976, total household debt outstanding was \$818.9 billion.<sup>2</sup> By 2006, it had grown to \$12.816 trillion.<sup>3</sup> These outstanding total debt figures comprised \$517.0 billion of home mortgage debt and \$229.0 billion of consumer debt in 1976, and \$9.676 trillion and \$2.438 trillion, respectively, in 2006.<sup>4</sup> In 1976, US households borrowed \$83.1 billion, whereas by 2006 households borrowed a staggering \$1.012 trillion.<sup>5</sup> When business, government, financial sectors, and foreign debt are included, total borrowing rose from \$244.7 billion in 1976 to \$2.1 trillion in 2006.<sup>6</sup> Over the same 30-year period, annual consumer credit borrowings rose from \$22 billion to \$111.1 billion, and borrowings secured by home mortgages rose from \$57.6 to \$792.5 billion.<sup>7</sup> In 2006, debt growth outpaced growth in gross domestic product (GDP) (with GDP growing by only approximately 6.3% and total household outstanding borrowings growing by approximately 8.6%).<sup>8</sup> The growth of the credit market can also be seen in the proliferation of new lenders. Payday lending, for example, was nonexistent thirty years ago, but by 2005 there were over twenty thousand payday loan "retail outlets nationwide, more than

<sup>2</sup> See Federal Reserve, "Flow of Funds Accounts of the United States: Flows and Outstandings, Fourth Quarter 2006" (March 8, 2007), 8, [www.federalreserve.gov/releases/z1/20070308/z1r-1.pdf](http://www.federalreserve.gov/releases/z1/20070308/z1r-1.pdf). The year 2006 was chosen for comparison because this entire year predates the eruption of the subprime mortgage crisis with the related freezing of the credit markets, which distorts the figures during that crisis.

<sup>3</sup> See *ibid.*

<sup>4</sup> See *ibid.*

<sup>5</sup> See *ibid.*, 7.

<sup>6</sup> *Ibid.*

<sup>7</sup> See *ibid.*

<sup>8</sup> *Ibid.*, 8, 12. Percentages calculated based on the data. Total US debt outstanding (household, business, government, financial, and foreign) grew by 7.3% from 2005 to 2006.

McDonalds, Burger King, Sears, J. C. Penney, and Target Stores combined.<sup>9</sup> Debt seems to be our most popular consumer product! What drove this revolution in American debt load was a corresponding revolution in ideas witnessed in the twentieth century. Professor Jarret C. Oeljen describes this revolution thus:

With the passage of time, there evolved a new philosophy regarding consumer credit. No longer was borrowing a stigma, a sign of poverty, or financial mismanagement. Rather borrowing became the American way to instantly raise one's standard of living. Indeed, it became desirable economic policy to facilitate consumer credit and thereby accelerate the movement of goods and services in the marketplace. Consumers accepted their duty to borrow with enthusiasm, and the availability of consumer credit exploded.<sup>10</sup>

Along with the explosion of debt levels, individual financial failure as measured by bankruptcy filings also increased from in excess of 200,000 filings in 1980 to over 1.4 million filings in 2006.<sup>11</sup> Studies have suggested a statistically significant positive correlation between increasing debt levels (and in particular revolving, i.e., credit card debt and home mortgage debt) and consumer bankruptcy filings.<sup>12</sup> This growing mountain of debt and increase in consumer bankruptcy filings has been paralleled by two phenomena: (1) a growing laxity in usury laws<sup>13</sup> and (2) legal scholarship calling for new approaches to credit regulation.<sup>14</sup> Professor

<sup>9</sup> Christopher L. Peterson, "Usury Law, Payday Loans, and Statutory Sleight of Hand: An Empirical Analysis of American Credit Pricing Limits" (Selected Works of Christopher L. Peterson, University of Florida Levin College of Law, August 8, 2007), 2, [works.bepress.com/christopher\\_peterson/1](http://works.bepress.com/christopher_peterson/1).

<sup>10</sup> Jarret C. Oeljen, "Pawnbroking on Parade," *Buffalo Law Review* 37 (1989):762.

<sup>11</sup> Charles J. Tabb, "Consumer Bankruptcy Filings: Trends and Indicators" (working paper 67, Law and Economics Working Papers, University of Illinois College of Law, 2006), 2, [law.bepress.com/uiclwps/art67](http://law.bepress.com/uiclwps/art67).

<sup>12</sup> *Ibid.*, 11-23. According to Robert M. Lawless, "In the long run, however, rising (or falling) consumer credit appears to be followed rather consistently by rising (or falling) bankruptcy rates several years later." "The Paradox of Consumer Credit," *University of Illinois Law Review* 1 (2007): 363.

<sup>13</sup> Peterson, "Usury Law, Payday Loans," 21.

<sup>14</sup> See, for example, the articles cited in note 23 below; also, Steven W. Bender, "Rate Regulation at the Crossroads of Usury and Unconscionability: The Case for Regulating Abusive Commercial and Consumer Interest Rates under the Unconscionability Standard," *Houston Law Review* 31 (1994): 721-811; Todd M. Fincher, "Capping

Christopher L. Peterson summarizes the last century's abandonment of legal restrictions on the demanding of a profit in exchange for the lending of money (this description will serve as a temporary definition of usury pending further development in chapters 3 through 5), thus:

In 1965 every state in the union had a usury limit on consumer loans. Today nine states have completely deregulated interest rates within their borders. In 1965 banks were bound to comply with all state usury laws. Today banks are free to charge whatever interest rate they choose within the loose and changing tolerances chosen by [the] banking regulator for their safety and soundness guidelines. In 1965 no state had law either explicitly or implicitly authorizing prices with an annual percentage rate of over 300%. Today, at least 36 states have law[s] allowing lenders to charge over 300%. In 1965 usury laws were drafted with sufficient rigidity that 45 states held actual allowed annual percentage rates to 60% or under. In 2007 the number of states accomplishing this has fallen to only seven.<sup>15</sup>

Yet this deregulation of usury has not led to the peace and contentment advocates may have expected. There is a growing political-academic recognition that our credit system needs serious reform. Currently acknowledged problems include record credit card debt, rising consumer bankruptcy, predatory payday loans, and the collapse of the subprime mortgage market.<sup>16</sup> Even legislators are recognizing a problem. Congress

Credit Card Interest Rates: An Immodest Proposal," *Annual Review of Banking Law* 12 (1993): 493, n.1; Angela K. Litwin, "Beyond Usury: A Study of Credit Card Use and Preference among Low-Income Consumers" (paper 8, Harvard Law School Faculty Scholarship Series, December 17, 2007), [lsr.nellco.org/harvard/faculty/papers/8/](http://lsr.nellco.org/harvard/faculty/papers/8/); Robin A. Morris, "Consumer Debt and Usury: A New Rationale for Usury," *Pepperdine Law Review* 15 (1988): 151-79; John A. E. Porttore, "Private Liability for Reckless Consumer Lending," *University of Illinois Law Review* (2007): 405-65; Vincent D. Rougeau, "Rediscovering Usury: An Argument for Legal Controls on Credit Card Interest Rates," *University of Colorado Law Review* 67 (1996): 1-46; John D. Skees, Comment, "The Resurrection of Historic Usury Principles for Consumption Loans in a Federal Banking System," *Catholic University Law Review* 55 (2006): 1131-68.

<sup>15</sup> Peterson, "Usury Law, Payday Loans," 21.

<sup>16</sup> See the articles listed in note 14 above; also, Editorial, "Credit Card Buyer Beware," *New York Times*, July 31, 2007, A18 (discussing the need for congressional reform in an area where current regulations are designed to favor banks and credit card companies rather than to protect consumers); Robert H. Frank, "Payday Loans Are a

has enacted laws to protect members of the military and their families from certain expensive loans.<sup>17</sup> Bills were considered as part of the 2010 Dodd-Frank Act to authorize bankruptcy judges to restructure mortgage loans by reducing interest rates and payments.<sup>18</sup> Despite this awareness of problems, there has been wide disagreement as to the content and scope of possible solutions.

The recent legislative efforts mentioned above appear to contradict the federal trend toward eliminating by preemption interest rate regulation.<sup>19</sup> Some academics have advocated various solutions, including complete deregulation, heightened disclosure law, higher usury rates, lower usury rates, and the use of an unconscionability standard.<sup>20</sup> Yet even in arguments purporting to be historical surveys,<sup>21</sup> the Catholic doctrine on usury, rooted in natural law<sup>22</sup> philosophy, which dominated Western legal

Scourge, But Should Wrath Be Aimed at the Lenders?" *New York Times*, January 18, 2007, C4; Rex Nutting, "Rate of Late Consumer Loans Reaches High Since '01," *Wall Street Journal*, July 5, 2007, B8 (American Bankers Association's chief economist, James Chessen, cited "[s]low expansion in employment, falling home prices and weaker economic growth" as reasons for the poor financial condition of consumers); Bloomberg News, "Regulator Favors Standards against Predatory Lending," *New York Times*, March 28, 2007, C2; Michelle Singletary, "A Horror Movie for Our Times," *Washington Post*, March 4, 2007, F01.

<sup>17</sup> John Warner National Defense Authorization Act for Fiscal Year 2007, 10 U.S.C. § 987 (2006). The Secretary of Defense has promulgated implementing regulations at 32 C.F.R. § 232 (2007). Among other things these laws and related regulations limit interest rates that may be charged for certain consumer credit products offered to members of the military and their families.

<sup>18</sup> See H.R. 3609, 110th Cong. (2007), H.R. 3778, 110th Cong. (2007), and S. 2133, 110th Cong. (2007). After months of political wrangling and lobbying, this concept did not survive in the housing legislation passed by Congress. See Lori Montgomery, "Senate Approves Housing Package," *Washington Post*, April 11, 2008, D01. But the idea of allowing bankruptcy modification of home mortgages is still being advocated by some consumer groups. See Pam Dawkins, "As Banking Chairman, Dodd Concentrates on Solutions to Subprime Woes," *Advocate* (Stamford, CT), April 24, 2008, 1.

<sup>19</sup> See chapter 5.

<sup>20</sup> See Tabb, "Consumer Bankruptcy Filings," and Lawless, "Paradox of Consumer Credit."

<sup>21</sup> See, for example, Christopher L. Peterson, "Truth, Understanding, and High-Cost Consumer Credit: The Historical Context of the Truth in Lending Act," *Florida Law Review* 55 (2003): 807-903.

<sup>22</sup> The definition of natural law is a lengthy topic in and of itself. For the purposes of this book, when I use the term I mean a principle of action (by which I mean a

systems for over a millennium, has been noticeably absent from contemporary debates about usury—other than occasional overgeneralized references to outlawing all loans at profit.<sup>23</sup>

As I surveyed this escalating subprime mortgage and credit crisis which quickly exploded in the bubble that we experienced in 2008, I wondered how our country transformed from a nation known for financial prudence, thrift, and industry into one whose national product is debt. The answer lay in the rejection of the natural law theory of credit held by the Catholic Church for centuries<sup>24</sup> and its corollary condemnation of usurious lending. Its erosion from a once-universal philosophy of credit to the point that it is now consigned to dismissive footnotes produced the revolution in ideas. In the early days of the nineteenth century (or the century of debt), the chancellor of the Supreme Court of New York<sup>25</sup> warned against this growing philosophical amnesia thus:

moral principle) that is formulated in general terms and that is capable of being derived from the nature and purpose (or end) of mankind. The Ten Commandments, in addition to their religious significance, can be used as an example of principles of natural law.

<sup>23</sup> See, for example, Steven M. Graves and Christopher L. Peterson, "Usury Law and the Christian Right: Faith-Based Political Power and the Geography of American Payday Loan Regulation," *Catholic University Law Review* 57 (2008): 637–96. This article presents an extensive mapping of the proliferation of high-cost payday loans and the location of conservative Christians and concludes there is a correlation between a high concentration of payday lenders and conservative Protestant and Mormon communities. In part of the paper the authors present biblical passages on usury and purport to present the Christian application of these passages. Yet the authors pass over in silence the millennium of the Catholic treatment of usury. They present this understanding of usury as the price capping of excessive interest. This price-capping approach was a product of the subjectivist approach to usury theory that arose out of the debates of the sixteenth century as discussed in chapter 5. Ignorance of the authentic natural law theory of usury among Christians may explain this apparent contradiction of conservative Christian states tolerating high-cost lending that exploits the poor. See also Peterson, "Truth, Understanding, and High-Cost Consumer Credit" (purporting to identify all of the approaches to loans taken throughout world history while utterly ignoring the Catholic theory other than a brief discussion of the *mons pietatis* of the sixteenth century; however, even this discussion does not describe the theoretical framework that gave birth to the *mons pietatis*, described in chapter 3 of this book).

<sup>24</sup> Throughout this book I shall refer to the theory as the natural law theory or the Catholic theory, by which terms I refer to the same system of beliefs about credit and usury developed from natural law principles and taught by the Catholic Church.

<sup>25</sup> The Supreme Court was at that time the highest court in the state of New York.

Can we suppose that the principle of moral restraint of such uniform and universal adoption has no good sense in it? Is it altogether the result of monkish prejudice? Ought we not rather to conclude that the provision is adapted to the necessities and the wants of our species, and grows out of the natural infirmity of man and the temptation to abuse, inherent in pecuniary loans? . . . It is an idle dream to suppose that we are wiser and better than the rest of mankind. Such doctrine may be taught by those who find it convenient to flatter popular prejudice; but the records of our courts are daily teaching us a lesson of more humility.<sup>26</sup>

Prophetically, the chancellor warned that it was prideful hubris to think we were better than our ancestors, that we could have our debt and eat it too. The financial collapse from which we still suffer confirms his foresight. I set out to study in depth this "principle of moral restraint of such uniform and universal adoption" to learn what lessons it has to offer to cure our nation's financial woes. Part of this research needed to resolve a common attack on the Catholic doctrine of credit, that usury law needed to be abolished to provide for the financing of business and commerce. This objection had to be dealt with, or the entire endeavor, although historically interesting, was doomed to failure. As this book will demonstrate, the objection is a red herring.

The second motivation for my research is alluded to in the chancellor's statement in the phrase "monkish prejudice." The natural law theory condemnation of usury has been linked to a Christian religious philosophy and in particular to Catholic moral doctrine. Yet it has been asserted since the last century that the Church has abandoned or changed this moral teaching from condemnation to approbation. A particular incident brought home the particular need, as a Catholic, to examine the merit of this accusation.

Shortly after joining the faculty at the University of Oklahoma in the fall of 2006, I attended a presentation sponsored by the Cardinal Newman Society on a pro-life topic. During the discussion following the presentation, a gentleman accused the Catholic Church of injustice by denying abortion to its members now when everyone knew that eventually the Church would change her teaching and permit abortion someday. It was unfair to deny abortion to people who happened to live before this inevitable change would

<sup>26</sup> *Dunham v. Gould*, 16 Johns. 367, 378–79 (NY 1819).

occur. I rose to challenge the speaker with the proposition that the Church cannot "change" the moral law. She cannot declare moral that which has been proclaimed immoral. He replied that such reversals have happened all through history. I asked him to point to one historical example where the Church reversed a moral principle. His reply was usury law. I knew this was wrong because by definition the Church, as only the keeper of the moral law, cannot change its contents, but I could not articulate a well-formulated response to his accusation. I muttered something about applying unchanging principles to new factual scenarios, but I knew my reply was inadequate.

Coincidentally, or providentially, shortly after this incident I came across an old copy of the *Dublin Review* that I had acquired as part of the library of the late English Catholic writer Michael Davies. After his death, his wife had given me several boxes of books. Over the years I had been going through them and distributing them to people I thought would appreciate them. Within one box was a copy of the autumn 1966 *Dublin Review* containing an article entitled "Authority, Usury and Contraception" by John T. (now US judge) Noonan. The article, containing what appear to be the handwritten comments of Michael Davies, attempts to argue that the Church will revise her teaching on contraception just as the teaching on usury was changed. Noonan argues that, despite the usury teaching being supported by more weighty authority than the contraception rule, theologians worked out "modifications, alternatives and changes which effectively sapped the force of the old rule."<sup>27</sup> Noonan suggested that the Church in 1966 was "at the threshold, perhaps, of a development [in the teaching on contraception] analogous to that on usury."<sup>28</sup> Here was the philosophical origin of the argument I could not refute and another compelling reason to endeavor on this research. I needed to uncover the answer to this accusation. More than economic law was at stake. All of the Church's moral authority is involved. Early in my research I came across two other articles in the *Dublin Review*. In 1873 and 1874, the same journal had published a two-part article that explained the usury doctrine and the history of its application by the Church.<sup>29</sup> Although

experts may dispute some historical details and arguments, these two articles solidly defended the Church's doctrine on usury as just, consistent, and correct. "It is false to say that . . . she [the Church] has ever changed her principles of morality; or that she now concedes in practice what she condemns in theory."<sup>30</sup> In less than a century, the same journal argued radically different conclusions with significant consequences, as Judge Noonan was more than pleased to demonstrate. I thus began with Judge Noonan's doctoral dissertation published as "The Scholastic Analysis of Usury." Despite what I would come to see as its incorrect conclusions, Judge Noonan must be acknowledged for having brought together in his book a vast amount of the critical primary sources on the topic. These efforts greatly aided my research.

Yet this quandary is relevant not only to Catholics but also to Protestants. As later chapters will show, Protestantism retained in its birth the traditional condemnation of usury by the natural law. In the turbulent sixteenth century, one often finds Protestants defending more ably the historically Catholic teaching on usury than some Catholic authors did. Recall that, particularly in the first century of its history, American law and government was dominated not by Catholics but Protestants. It was therefore predominantly Protestants who enacted in every state some form of restriction (including criminal restrictions) on usury. These Protestant-enacted laws were eroded and repealed in the twentieth century. Even for Protestants, then, the retreat from usury should be troubling. In 2008, professors Steven M. Graves and Christopher L. Peterson published the results of their empirical study that explored "the relationship between payday loan outlet locations and the political power of conservative Christians in all fifty states."<sup>31</sup> Payday loan outlets can be taken as one of the most obvious examples of lending practices that all would agree the ancient Christian teaching on usury would condemn. Graves and Peterson

conclude, with a high degree of statistical certainty, that states with powerful conservative Christian populations tend to host relatively greater numbers of payday loan locations per capita as well as a greater commercial density of payday lenders. These findings propound a tragic and sad irony.

<sup>27</sup> John T. Noonan Jr., "Authority, Usury and Contraception," *Dublin Review* 240 (1966): 201.

<sup>28</sup> *Ibid.*

<sup>29</sup> "Usury," *Dublin Review* (Autumn 1873): 323–48; "Usury and the Canon Law," *Dublin Review* (Winter 1874): 69–99.

<sup>30</sup> "Usury and the Canon Law," 93–94.

<sup>31</sup> See Graves and Peterson, "Usury Law and the Christian Right," 640.

Those states that have most ardently held to their pious Christian traditions have tended to become more infested with the progeny of money changers once expelled by Christ from the Hebrew temple. Legislators in those states, who have effectively used biblical principles to shape their legislative agenda on social and cultural issues, have failed to consistently apply biblical principles to economic legislation.<sup>32</sup>

Thus, not only for Catholics, but also for Protestants, a rupture in ideas occurred in the twentieth century. That which Catholic and Protestant alike historically held condemnable and illegal became a widespread right in the population centers that have been fighting tenaciously to maintain Christian values in the law. Finding our way out of the financial crises coincides with Christians finding their way out of this intellectual haze and restoring the law to the principles of natural law supported by Christian lawmakers for thousands of years.

Before delving into the details of the argument, two caveats must be established. First, we must define what is and what is not meant by "change." Since this book will argue, as did the *Dublin Review* over a hundred years ago, that Catholic moral principles have not changed, it is important to define what is meant by the proposition. The sense of "change" I intend is a change in principle. By this term I mean a moral rule of action that is formulated at a level of generality, enabling it to be applied to a variety of similar but unique circumstances. For example, murder is wrong. This general statement will need explanation and qualification, certainly. What actions constitute murder? Are there actions that superficially look like murder but which contain morally significant differences causing this rule not to apply? A change in principle would mean that the rule "murder is wrong" becomes "murder is not wrong" or "murder is morally good." Such a change is distinguished from a change in the understanding of what constitutes "murder." A general definition of murder might be "the killing of a human being." Yet one might later realize that this definition requires more specification by adding the qualification "innocent." Thus, killing in self-defense would not be governed by the principle "murder is wrong," because killing an aggressor is not killing an innocent human being. The change being made involved here involves a

refinement in the definition of the terms contained in the principle (in this case the term "murder"), but not a change in the principle itself. Over the course of time, people, and in particular lawmakers, may have mistakenly defined terms. They may have erroneously enacted laws treating non-murder as murder. A change in law to conform to the correct understanding of "murder" would, again, not constitute a change in principle but rather a correction of a law based upon an incorrect understanding of that principle. Likewise, this book will demonstrate that Catholic philosophers, theologians, and jurists have certainly refined the definition of usury and the circumstances where it exists, but the Church has not, nor could it, revoke the principle that usury is wrong. Although debate about the details has ensued and will continue, the clear statement of the Ecumenical Council of Vienne in the fourteenth century stands as a reminder that debate over the details cannot be confused with a change of the ultimate principle: "If anyone shall fall into the error, so that he obstinately presumes to declare that it is not a sin to exercise usury, we decree that he must be punished as a heretic."<sup>33</sup>

Another change in thinking may relate to an application of a principle to a new consideration. As technology develops and people can be put on life-sustaining machines, the question arises, does removing these machines constitute killing an innocent human being? The answer to such a question may be "new," but it is only new in the sense that the application of the principle has not been made to this situation previously, because the situation, not the principle, is new. Thus, we must distinguish changes in definition or categorization of terms contained in principles, as well as changes in application of principles, from changes in the principles themselves.

Since we have mentioned law, it is important to distinguish changes in law from changes in principle. A change in law may or may not represent a change in principle. Human-made law, although related to natural law, is not coterminous with it. Many factors or competing principles must be taken into account when formulating and revising human laws, and thus a change in law may not equate to a change in principle. Two types of changes can arise that do not necessarily involve a change of principle.

<sup>33</sup> Ecumenical Council of Vienne, *Ex Grav Ad Nos* (1312), reprinted in Robert Denzinger, ed., *The Sources of Catholic Dogma*, trans. Roy J. Deferrari (Pierwilliam: Loreto Publications, 2002), no. 479, p. 189.

<sup>32</sup> Ibid.

First, human law may have incorrectly expressed the universal principle and is changed to better conform the specific human expression to its origin, a principle of natural law. Secondly, human law may change to take account of new circumstances. The principle behind the law remains the same, but its application in law has been extended. St. Thomas Aquinas explains these two reasons for changes in law thus:

As stated above, human law is a dictate of reason, whereby human acts are directed. Thus there may be two causes for the just change of human law: one on the part of reason; the other on the part of man whose acts are regulated by law. The cause on the part of reason is that it seems natural to human reason to advance gradually from the imperfect to the perfect. Hence, in speculative sciences, we see that the teaching of the early philosophers was imperfect, and that it was afterwards perfected by those who succeeded them. So also in practical matters: for those who first endeavored to discover something useful for the human community, not being able by themselves to take everything into consideration, set up certain institutions which were deficient in many ways; and these were changed by subsequent lawgivers who made institutions that might prove less frequently deficient in respect of the common weal. On the part of man, whose acts are regulated by law, the law can be rightly changed on account of the changed condition of man, to whom different things are expedient according to the difference of his condition.<sup>34</sup>

Yet in some cases human law is changed in a way that seems to tolerate or decriminalize something forbidden by a principle of natural law. This might at first appear to be a reversal of principle. When we consider, however, the competence of human-made law, we can see that such a change might not—in every case—involve a change in principle. It is possible for a lawmaker to accept in the same way a principle of natural law, but alter human law in a way so that it fails to punish every instance of a violation of the natural law principle. Again, St. Thomas explains that human law is limited in its ability to prescribe all vices:

The natural law is a participation in us of the eternal law: while human law falls short of the eternal law. Now Augustine says (*De Lib. Arb. i, 5*): "The law which is framed for the government of states, allows and leaves unpunished many things that are punished by Divine providence. Nor, if this law does not attempt to do everything, is this a reason why it should be blamed for what it does." Wherefore, too, human law does not prohibit everything that is forbidden by the natural law.<sup>35</sup>

Aquinas explains that even though human law may sometimes have to treat certain matters "as though they were lawful, not by approving of them, but by not punishing them . . . the Divine law leaves nothing unpunished that is contrary to virtue."<sup>36</sup> Thus, we may need to distinguish various changes in the history of human-made usury law. Some may be only refinements of definitions regarding what constitutes usury; others may represent applications to new situations. Some legislative changes may tolerate or remove punishment from some forms of usury without changing the underlying moral principle. Unfortunately, due to the erosion of a more complex view of human law, many people today equate "legal" with "moral" and fail to distinguish the more limited scope of legal changes.

Finally, another legal caveat is necessary to more correctly understand the Catholic position on usury. The Catholic legal structure has maintained a distinction between two forums of jurisdiction, an external and an internal.<sup>37</sup> The former was a "public ecclesiastical court in which offenses against the Church and her common law could be judged according to legal procedures similar to those of secular courts."<sup>38</sup> The latter was the confessional, "in which the believer confessed his sins to his priest and received moral and spiritual guidance."<sup>39</sup> The extent of the jurisdiction of the Church, and particularly that of the external forum, has changed dramatically over time. At its zenith, the Church claimed—and to a significant extent exercised—a near-universal jurisdiction. For example, the Archbishop of Mainz claimed

<sup>35</sup> *ST I-II*, q. 96, a. 2, ad. 3.

<sup>36</sup> *ST II-II*, q. 77, a. 1, ad. 1.

<sup>37</sup> See John W. Baldwin, "The Medieval Theories of the Just Price," *Transactions of the American Philosophical Society* 49, no. 4 (July 1959): 57.

<sup>38</sup> *Ibid.*

<sup>39</sup> *Ibid.*

<sup>34</sup> Thomas Aquinas, *Summa Theologica I-II*, q. 97, a. 1, trans. Fathers of the English Dominican Province (New York: Benziger Brothers, 1947), 1274 (hereafter abbreviated *ST*).

jurisdiction over all and individual cases, criminal and civil, spiritual and temporal, beneficial and profane . . . and [over] all matters [involving] prelates, chapters, assemblies, corporations, universities, as well as individual persons, clerics and laymen, of whatever status and grade, dignity and preeminence, by reason of orders or condition.<sup>40</sup>

Yet such expansive jurisdictional claims were not made—and if made were not accepted—by secular authorities throughout the entire history of the Church. Thus, depending on the period, the Church's theoretical or practical jurisdiction may be limited to a personal jurisdiction over certain groups (clergy and certain protected groups such as widows and orphans) or to a more limited subject matter jurisdiction. In examining Church positions on usury law, it is important to consider the larger historical context of the Church's actual exercise of jurisdiction at that time. For example, in a later chapter we will consider the decree of the Council of Nicaea concerning usury. It would be erroneous to conclude that the Church condemned usury only among the clergy but not generally, simply because the decree involves only offenses among the clergy. In the fourth century when the Church was just attaining a status of toleration by the secular authorities, jurisdiction over the clergy was more established than over other groups, and this explains the limited scope of this regulation. This caveat is critical in examining the Church's position since the Protestant Reformation. Since that break within Christendom, the Church has seen both her personal and subject matter jurisdiction restricted theoretically and practically. England presents the most dramatic example of the reduction of jurisdiction when, following the Henrician Reformation, the ecclesiastical courts were completely cut off from the Catholic Church, which was deprived of all jurisdiction in England.<sup>41</sup> For the next several centuries these ecclesiastical courts would see their subject matter jurisdiction reduced to virtually nothing.<sup>42</sup> Although England may be the

extreme case of the reduction of Catholic ecclesiastical jurisdiction, generally the history of the five hundred years after 1500 is a downward slope in the scope of jurisdiction from the height of the High Middle Ages. Thus again, the reduction of cases, sentences, and pronouncements concerning usury from the Reformation onward must be filtered through this lens of jurisdictional decline. Commercial and contract law today stands almost exclusively outside of the legal jurisdiction of the Church. It is therefore no surprise that we fail to find in the past few centuries many legal texts dealing with the commercial and contractual topic of usury other than general moral exhortations.

Beyond orienting the discussion within this loss of jurisdiction to the secular society, an internal legal shift of jurisdiction occurred with respect to usury. As we shall see in later chapters, the application of the principles governing loans and usury became more and more complex as commercial activity, business, finance, and money developed in complexity. Judgments of whether usury existed in particular instances became highly contextualized and difficult to reduce to general definitions and rules. As a result, usury, which had always been dealt with in both the external and the internal fora, began to be consigned primarily or even exclusively to the internal forum. The private nature of the internal forum is more suitable for a detailed examination of particular circumstances, particularly after the influence of the Subjectivist School of Thought (discussed in chapter 5) argued for the primary role of intention when deciding on the presence of usury. With the change of forum, it is not surprising that we would find a decline in detailed pronouncements regarding the law of usury by the Church authorities, in favor of mere general confirmations of the principle of its immorality. The principles remained, but the details of the application in the modern world were left to resolution primarily in the internal forum. The last papal pronouncement to deal exclusively with usury is a prime example of this trend. As we shall see, Pope Benedict XIV clearly and definitively restates the unchanging condemnation of usury, as well as the need to distinguish other transactions from usurious loans, but refuses to rule on the moral rectitude of specific cases and transactions.<sup>43</sup> Such a change is only at the prudential level of deciding the best means of

<sup>40</sup> Georg May, *Die Geistliche Gerichtsbarkeit des Erzbischofs von Mainz im Thüringen des Späten Mittelalters* 111 (1950), quoted in Charles J. Reid Jr. and John Witte Jr., "In the Steps of Gratian: Writing the History of Canon Law in the 1990s," *Emory Law Journal* 48 (1999): 654.

<sup>41</sup> Charles P. Sherman, "A Brief History of Medieval Roman Canon Law in England," *University of Pennsylvania Law Review* 68 (1920): 254–58.

<sup>42</sup> See *ibid.*

<sup>43</sup> See Benedict XIV, *Vix Perenni* (1745), subsections 2, 3; available at [www.cwtn.com/library/ENCYC/B14VIXPE.HTM](http://www.cwtn.com/library/ENCYC/B14VIXPE.HTM), accessed December 30, 2007.

upholding the unchanging natural law with respect to usury, not a change of that natural law itself. The Church has seen economic complexity and the erosion of jurisdiction limit her ability to enforce usury law through her own legislation and adjudication. Such change cannot be conflated with a change of the moral law itself.

Examining this caveat concerning the Church's teaching on usury raises an important question for the secular law's position toward usury. Should the secular law follow the Church's withdrawal of usury from the external forum of the courts? Has the modern repeal of usury law been a prudent change of law in light of the complexities that caused the Church to transfer the locus of its remaining jurisdiction to the internal forum? After we have surveyed the natural law theory of credit and usury and examined the abolition of that theory from the secular law in the United States, we shall return to this question in the conclusion. We will conclude that although not all usury can and even should be prohibited by secular human law, the opposite extreme of permitting practically every instance of usury is not beneficial for society either. The natural law doctrine on usury, guarded and developed for centuries by the Catholic Church, must be reintegrated into secular commercial law. Although debates about the scope of its integration in particular contexts will be inevitable, it is required by the crushing burden of consumer debt service and its far-ranging macroeconomic consequences, which we observe daily.

## CHAPTER TWO

# The Nature of Money

MONEY is one of those things that people use all the time but, perhaps due to the excessive familiarity, rarely consider. If you were to ask the average person on the street, what is a dollar? the response you would likely encounter would be that a dollar is a dollar. As we shall see in this chapter, that answer is fairly accurate. All a one dollar Federal Reserve Note represents is the right to exchange it for another such note. Yet, money is something that we all think we understand, but our current monetary system masks a world of complexity under this seeming simplicity.

This chapter will sketch answers to two questions few people consider: (1) what is the nature of money, and (2) what has been the history of its use? These questions are important to the argument of this book since usury primarily involves the lending of money for a profit. Obviously some familiarity with money is a requirement for an intelligent discussion of usury. The historical survey presented will be necessarily cursory. The history of money presents several interesting questions, and several comprehensive treatises exist on the topic. Yet, our purpose in considering the history will be to help us understand why changes in the use and nature of money and money substitutes have necessarily influenced the history and application of thinking on usury. A purported change in the Church's teaching on usury may in reality be attributable to a change in the nature of money rather than in principle.

The consideration must begin with a clear definition of terms. We will start with a contemporary legal definition of money. The Uniform Commercial Code defines money as "a medium of exchange currently authorized

or adopted by a domestic or foreign government.”<sup>1</sup> There are two distinct concepts in this definition which we must consider separately. First, money is a “medium of exchange.” Secondly, it carries some governmentally established legal quality, what we will call legal tender status. Thus, in this book we will use the term “money” to signify more than a mere medium of exchange. We will limit the term to a medium of exchange that has been endowed with legal tender status. We will refer to a medium of exchange lacking this official legal tender status simply as a medium of exchange or a money substitute.

### Medium of Exchange

#### *The Essence of a Medium of Exchange*

As a medium of exchange, money performs two interconnected uses: It can measure the value of things to be exchanged and hence facilitate contemporaneous exchange transactions, and it can store value for future use.<sup>2</sup> The fourteenth-century scientist and philosopher Nicholas Oresme identified the first of these functions of money by explaining that it is an “instrument artificially invented for the easier exchange of natural riches” and a balancing “instrument for the exchange of natural riches.”<sup>3</sup> Money is important to society because it is essential to facilitate necessary exchange transactions, both those that are contemporaneous and over the course of time.<sup>4</sup> As simple bartering between individuals is too limited to supply all human needs,<sup>5</sup> money facilitates a broader range of exchange by

providing a method of measuring value in multiple exchanges occurring across time and space. Aristotle used the example of shoes and a home. In a direct exchange, the shoemaker would have to transfer as many shoes that equal the value of a house. Because the house builder will not have a need for so many shoes, money allows the two to achieve an exchange of a house or a pair of shoes for money, which represents the equivalent value. This money can then be exchanged with others for required goods.<sup>6</sup> In this way, money facilitates a greater number of exchanges of goods involving more parties than can barter since it allows an exchange even when the seller has no need of any particular goods of the buyer. By exchanging an accepted medium of exchange, the house builder can acquire shoes with money instead of having to trade a house for too many shoes. Further, money can be used as a standard measure of comparison among unlike goods.<sup>7</sup> As Aristotle points out, goods cannot be compared in a linear manner. One shoe is not equal to one house but only a fraction of the value of a house. A standard monetary system provides a system for equating value among disparate things.<sup>8</sup> For example, a shoe might be worth \$10 but a house \$100,000. In this case, it is the monetary unit of the dollar with all of its denominations that thus allows the comparison of value between shoes and houses. In this case a shoe is worth 1/10,000 of a house. By using money the house builder does not have to transfer 1/10,000 of a house for shoes (which would be utterly impractical) but rather a monetary unit representing 1/10,000 of a house. In a similar manner, the metric system allows the comparison as to length among objects of dramatically different size. The length of a house can be equated in size (perhaps forty meters) to the length of a shoe (perhaps thirty-three centimeters) by use of the metric system. Likewise they can be equated in value through the monetary system of the dollar or the pound. Because not all exchanges are simultaneous,<sup>9</sup> the secondary purpose of money is to

<sup>1</sup> U.C.C. § 1-201(b)(24) (2011).

<sup>2</sup> See Gratian, *Decretum*, D.88, c.11, noting that money is meant for no purpose other than to buy something (*quoniam pecunia non ad aliquem usum disposita est nisi ad emendum*) but noting that money could be stored up (*pecunia reposita*) for future use.

<sup>3</sup> Nicholas Oresme, *The De Moneta of Nicholas Oresme and English Mint Documents*, ed. and trans. Charles Johnson (London: Thomas Nelson, 1956), 4–5; see Diana Wood, *Medieval Economic Thought* (Cambridge: Cambridge University Press, 2004), 70.

<sup>4</sup> See Thomas Aquinas, *Commentary on Aristotle's Nicomachean Ethics*, trans. C. I. Litzinger (Chicago: Henry Regnery Co., 1964; repr., South Bend, Ind.: St. Augustine's Dumb Ox Books, 1993), bk. 5, lect. 9, p. 311.

<sup>5</sup> John J. Chung, “Money as Simulacrum: The Legal Nature and Reality of Money,” *Hastings Business Law Journal* 5 (2009): 115.

<sup>6</sup> See *ibid.*; see also Wood, *Medieval Economic Thought*, 71–73, especially p. 73: “[M]oney, when authorized by the State, overcame the difficulties of barter by providing a uniform measure” (citing the Roman jurist Paul).

<sup>7</sup> Chung, “Money as Simulacrum,” 115.

<sup>8</sup> See Aristotle, *Nicomachean Ethics* 5.1133a19–1133b6 and Aquinas's *Commentary thereon*, bk. 5, lect. 9, p. 311.

<sup>9</sup> “The coincidence was not always readily found, that when you had what I wanted I had what you were willing to give.” Justinian, *Digest* 18.1.1.

store value for future use over time.<sup>10</sup> To use the prior example, the home builder may keep some of the money he received from building a house until he needs a pair of shoes. Thus, a medium of exchange can facilitate both contemporaneous exchange and a store of value can facilitate exchanges over extended periods of time.

In light of this definition of money as a medium of exchange, several conclusions about the nature of money can be drawn. First, as St. Thomas Aquinas observes, money is not natural but artificial wealth. He distinguishes between these two categories of wealth thus:

Natural wealth is that which serves man as a remedy for his natural wants: such as food, drink, clothing, cars, dwellings, and such like, while artificial wealth is that which is not a direct help to nature, as money, but is invented by the art of man, for the convenience of exchange, and as a measure of things salable.<sup>11</sup>

Natural wealth consists of things that can be used directly to satisfy human needs (food, clothing, etc.). These things are defined by the need they satisfy. Food is anything that satisfies hunger. Yet, money does not directly satisfy needs. It instrumentally satisfies those needs by facilitating exchanges ordered to the acquisition of natural wealth that satisfies them. Although there are certain essential qualities that money will necessarily contain to function as such, as something designed by the art of man, money does not have an essential composition. It can assume a variety of forms as long as they satisfy the instrumental purpose of facilitating the comparison of values, the exchange of goods, and the storing of value.

Further, as St. Thomas observes, money is not an end in and of itself. It does not directly satisfy any need.<sup>12</sup> As a mere instrumentality money is not used as an end itself but as a means to achieve other ends (current or future exchange transactions). Once money is seen as a mere instrumentality either to effect present exchange transactions or to store value for future

<sup>10</sup> See Aristotle, *Nicomachean Ethics* 9.1133b10–14, especially line 1133b10: “For future exchanges money is as it were a guarantee that a man, who has no present need, will be helped when he is in want later on.”

<sup>11</sup> See *ST* I–II, q. 2, a. 1.

<sup>12</sup> *Ibid.* (“And as to artificial wealth, it is not sought save for the sake of natural wealth; since man would not seek it except because, by its means, he procures for himself the necessities of life.”)

ones, it can only be normatively evaluated in the context of its particular use.<sup>13</sup> As Aquinas says:

All other things from themselves have some utility; not so, however, money. But it is the measure of utility of other things. . . . And therefore the use of money does not have the measure of its utility from this money itself, but from the things which are measured by money according to the different persons who exchange money for goods.<sup>14</sup>

In other words, because money can only be used to trade for other things (now or in the future), its use cannot be evaluated normatively in isolation but only in the context of a particular exchange transaction. Analogically, a yardstick functions only in its use to measure. If used to measure the amount of poison to kill someone, it is an immoral use. If used to measure the size of a beam to build a house, it is a moral use. We must examine in more detail the ways in which money can be used.

Tangible property can be divided into three groups of things with respect to the way they are used: (1) those that can be used without their total consumption, (2) those that can only be used by their total consumption, and (3) those that have different possible uses, some of which consume the thing completely and some of which do not. A house can be lived in and not consumed completely. Wine cannot be used (drinking or cooking with it) without consuming it completely. A potato can be used without completely consuming it (by planting it as a seed potato, which may be transformed into more potatoes in a successful harvest) or by completely consuming it (eating it). As will be seen in chapter 3, from about the year 325 through the fourteenth century, money was thought to be exclusively or at least nearly always in the second category of things that are completely consumed in first use. Money was spent to buy other things and thus consumed in use. As we shall see in chapter 4, toward the end of this period more attention was given to the use of money without destroying its value for the one using

<sup>13</sup> See Gratian, *Decretum*, D.88, c.11 (articulating that from money, which is not being exchanged and merely storing value, one takes no use—*ex pecunia reposita nullum utum capio*).

<sup>14</sup> John T. Noonan Jr., *The Scholastic Analysis of Usury* (Cambridge: Harvard University Press, 1957), 52 (translating and quoting St. Thomas Aquinas, *IV Lib. Sent.* III.37:1.6).

it. This was due to the expansion of commerce and thus more opportunities to use money in a potentially productive way (like the seed potato). With a flourishing productive economy, it is easier to see that money is in the third category of tangible property that can be consumed in first use or used at least potentially in a productive way. Money can be exchanged for a potato to eat (consume) or a potato to use as a seed potato to grow a new crop. Money can be exchanged either for an interest in something productive (which produces some additional wealth) or something that is nonproductive (something that can be used or consumed without producing additional wealth). In this book we will maintain the distinction in use by referring to money when it is exchanged for an interest in something productive as capital and by referring to it merely as money when it is not so used. Chapters 3 and 4 explore a centuries-long effort to work out distinctions in usury theory between the use of money and the use of capital.

Whether acquiring consumable or productive property, money is used to measure the value of the property to be exchanged. Anything that is to function as a useful measure must possess the following qualities. It must be (1) easily standardized, (2) widely accepted, (3) divisible, (4) easily portable, and (5) resistant to deterioration.<sup>15</sup> These characteristics are what enable money to serve as an accepted medium of exchange (its value is easily determinable) and a store of value (its consistent valuation over time). For example, it would be impossible to use a metric system if the length of the meter were not fixed. Reporting that a room is 9 square meters would have no meaning if the length of a meter varied from place to place or if its value varied over time. I would not know how much carpet to buy to cover the room unless the meter were a standardized and constant medium of comparison. Likewise, the carpet dealer would not know how much carpet to give me when I asked for 9 square meters unless the meter were widely accepted as a standard value. Finally, since a room might be 8.5 square meters and not 9 or 8, the meter needs to be divisible into smaller units. As room sizes vary by many factors, likewise does value, and hence the need to subdivide measurements of value arises.

To achieve the qualities of stability, wide acceptability, and lack of deterioration over time, the objects chosen by the art of man should contain

<sup>15</sup> See W. Stanley Jevons, *Money and the Mechanism of Exchange* (New York: D. Appleton and Company, 1875), 19–29; Chung, “Money as Simulacrum,” 115, n. 21.

certain qualities appropriate to these ends. Thus, St. Thomas observes that money should be designed so that its value is retained “more permanently than other things.”<sup>16</sup> St. Thomas realistically recognizes that no matter chosen to be used as money could remain an absolutely immutable value. All material objects are subject to change. He merely says the matter chosen should be more permanent than other things. The Spanish Scholastics of the sixteenth century keenly observed that when the historic availability of precious metals was altered by a dramatic change, the discovery and exploitation of vast deposits in the New World, the purchasing power of coins in Spain was significantly affected.<sup>17</sup> As with other matter, precious metals are subject to change and variation in price or in what they can buy in exchange.<sup>18</sup> Yet, the principle of price stability is the goal for money. The more stable its purchasing power, the better it serves its function. St. Thomas observes: “[I]t ought to be so established that it [money] retains the same value more permanently than other things.”<sup>19</sup> Thus, a relatively stable element such as gold is more appropriate than fresh fruit, which will rapidly decay. The opposite is also true. The more instability in the purchasing power of money, the less it serves its function and the more difficult and unjust become exchanges. As A. N. Fielding commented:

Money must be made a just measure of value. If it is not, every money transaction perpetrates injustice. . . . And injustice means sooner or later the disintegration of the existing social order.<sup>20</sup>

Injustice arises because parties engage in inequitable exchange transactions because the variable of money leads to an inexact comparison or the value received quickly deteriorates in value due to changes in the monetary form used. We can identify two variables that affect the price in money for goods and services. First, fluctuations in the prices of goods themselves can be

<sup>16</sup> Aquinas, *Commentary on Aristotle's Nicomachean Ethics*, bk. 5, lect. 9, p. 311–15.

<sup>17</sup> See, for example, Tomás de Mercado, *Tratos y contratos de mercaderes*, translation in Marjorie Grice-Hutchinson, *The School of Salamanca, Readings in Spanish Monetary Theory 1544–1605* (Oxford: Clarendon Press, 1952), 99–101.

<sup>18</sup> “[I]t is true that currency suffers the same as other things, viz., that it does not always obtain for a man what he wants because it cannot always be equal or of the same value” (ibid.).

<sup>19</sup> Quoted in ibid.

<sup>20</sup> Quoted in Denis Fahey, *Money Manipulation and Social Order* (Palmdale: Christian Book Club of America, 1992), 71.

affected by many things, including demand for and level of supply of goods.<sup>21</sup> Such variations should normally be limited to specific goods or classes of goods affected by these movements in supply and demand. Yet, under certain conditions virtually all goods in a community could undergo shifts in the common estimation of value and consequently in price. Second, the purchasing power of all money could be altered and thus affect the prices of all goods and services offered for exchange. As we have seen, the goal of stability in monetary policy aims to minimize these general price changes by using a medium of exchange that is more permanent. Yet, perfection in this human art is not always attained. Thus, prices can be affected by movements in value of the money of a community. Much of the analysis of economic activity in light of principles of usury will require one to distinguish between these two causes of price fluctuations. Although not completely attainable, the goal of the human art of money is to minimize price fluctuations caused by the second factor since such price changes lead to inequitable results. A shoemaker has sold enough shoes over time to equal the value of a house, but when he is prepared to use these savings to buy a house he finds that the value of money has changed dramatically and he can no longer buy a house with this quantity of money.

With these ontological principles in mind we can turn from the abstract nature of money to survey briefly the history of the design and use of this artificial creation of man. We shall see that over the past several centuries a dramatic revolution in the composition of money has occurred.

### *A Brief History of the Forms of Money* *Commodity Money*

Since money as a medium of exchange is a mere human invention<sup>22</sup> to expand trade beyond barter, it need not take any particular form. As such, a wide variety of things have been used as a medium of exchange over time.

<sup>21</sup> "Sometimes place or time brings a variation (*uarietatem*) in value; oil will not be equally valued at Rome and in Spain nor given the same assessment (*aestimabitur*) in periods of lasting scarcity as when there are crops." (Justinian, *Digest* 35.2.63.2); see also *ST II-II*, q. 77, a. 3, ad. 4 (discussing whether a merchant with knowledge that merchants with a greater supply of the goods sold are about to arrive in a location needs to disclose the likely downward price effect); see discussion of the common estimation and the just price in chapter 3.

<sup>22</sup> See Oresme, *De Moneta* of Nicholas Oresme, 4–5.

Until recent centuries, valuable commodities typically satisfied the exchange function of money. In the ancient Western world, farm commodities such as cattle<sup>23</sup> or crops served as the earliest form of money.<sup>24</sup> This is not surprising, since such commodities can meet most of the five criteria for an effective medium of exchange measuring and storing value over time described in section A of this part of the chapter. Specific farm products are generally fungible and can thus be easily standardized. Since food is a universal human need, agricultural commodities can achieve wide acceptability. As bulk products, they are easily divisible (head of cattle, weight or measure of grain). They are generally portable (although portability does become an issue with large transactions, and we shall see below how this quality was enhanced with deposit banking). Most products are resistant to deterioration for at least some time (storage in grain silos for future use). Yet, due to their organic nature as well as variations in availability due to crop and harvest failures, farm commodities can present difficulties in maintaining stability. It is not surprising that farm products eventually gave way to more durable commodities.

Precious metals are more stable materials than cattle or grain, and as a result they have been used as a form of money for over three millennia.<sup>25</sup> The Greeks were the first in Western civilization to use coined metallic commodities as a medium of exchange on a large scale.<sup>26</sup> The transition from mere lumps of metal into minted coins likely occurred at some point in the seventh century BC.<sup>27</sup> Since that time, and until recent centuries, metallic coins (primarily gold and silver) were synonymous with the term "money."<sup>28</sup> Metals, like agricultural products, could be easily identified as such and could be put to many different uses. Coinage enhanced their use as a medium of exchange by marking various standard quantities of the metal in different sizes and shapes. Unlike grain, which needed to be weighed, the stamp on

<sup>23</sup> The origins of money in cattle can be seen in the etymology of the word "pecuniary," coming from the Latin *pecu*, meaning "herd of cattle."

<sup>24</sup> See Glyn Davies, *History of Money from Ancient Times to the Present Days* (Cardiff: University of Wales Press, 2002), 42, 50, 52. Grain was the basis of money in both Babylon and Egypt.

<sup>25</sup> Chung, "Money as Simulacrum," 118; Arthur Kemp, *The Role of Gold* (Washington, DC: American Enterprise Institute for Public Policy Research, 1963), 5–6.

<sup>26</sup> See Davies, *History of Money*, 65.

<sup>27</sup> See *ibid.*, 64.

<sup>28</sup> See *ibid.*, 65; Chung, "Money as Simulacrum," 117.

a coin certified a standard unit of weight and fineness. In the eighteenth century the famous English jurist William Blackstone explained the suitability of precious metals to serve as a medium of exchange:

Metals are well calculated for this sign, because they are durable and are capable of many subdivisions: and a precious metal is still better calculated for this purpose, because it is the most portable. A metal is also the most proper for a common measure, because it can easily be reduced to the same standard in all nations; and every particular nation fixes on it its own impression, that the weight and standard (wherein consists the intrinsic value) may both be known by inspection only. . . . And with respect to coinage in general, there are three things to be considered therein; the materials, the impression and the denomination.<sup>29</sup>

Coined metallic money also creates a connection between the discovery and creation (mining and minting) of new wealth. A similar connection existed between agricultural products and the creation of money. The vast mineral resources that could be converted to coins used to pay the army made Alexander the Great's initial military expeditions possible.<sup>30</sup> An increase in the money supply was thus related to an increased production of new wealth through the mining of resources. Likewise the Spanish empire of the sixteenth century saw a proliferation of Spanish coins following the acquisition and commercialization of mineral mines in the Western Hemisphere.<sup>31</sup>

The history of metallic coins also shows that they generally retain a stable value over extended periods of time. Although there are anomalous exceptional incidents, generally from ancient times until the late seventeenth century commodity-based money experienced a relatively stable value.<sup>32</sup> Although the inflationary/deflationary swings were of great concern to the people of their time, the magnitude of the variations was of a much smaller order of magnitude than from the late seventeenth century onward.<sup>33</sup> The cause of many of these variations was one of the largest temptations presented by a metallic coinage: debasement. The use of

<sup>29</sup> William Blackstone, *Commentaries on the Laws of England* (1765; repr., Buffalo, N.Y.: William S. Hien, 1992), 266.

<sup>30</sup> See Davies, *History of Money*, 82.

<sup>31</sup> See Grice-Hutchinson, *School of Salamanca*, 99–101.

<sup>32</sup> See Davies, *History of Money*, 642.

<sup>33</sup> *Ibid.*, 213, 232, 642.

metallic coins over long periods of time naturally led to their deterioration in content due to wear and tear and more nefarious activities such as shaving and clipping the coins.<sup>34</sup> This inevitable deterioration of the coinage required regular reminting of coins at varying intervals ranging from a few times a decade to a few times a century.<sup>35</sup> The temptation of debasement is to use the reminting process to stretch or increase the number of coins by either decreasing the size of newly minted coins or adulterating their content with base metals. Obviously either of these techniques will increase the number of coins minted from the same amount of precious metals. Yet, when compared to pre-debased coins, containing a smaller mass or less pure content, the new coins should be of a lower value than the original. This will cause the value of individual coins to fall and prices to rise. This is exactly what happened when monetary authorities experimented with debasement.<sup>36</sup> Thus, variations in the value of minted coins can occur naturally over time with increased discoveries of minerals and with wear and tear to the coins or artificially through deliberate debasement of the coinage. Yet, even taking account of opportunistic debasement by rulers such as Henry VIII, coined money produced relatively lower inflationary swings than in the past three centuries.

#### *Coin Substitutes—Two Types of Paper*

Deposit banking is nearly as old as commodity money itself. The physical difficulty of transporting herds of cattle or large quantities of grain obviously limited the usefulness of such commodity money, especially for large transactions or over large geographic distances. The Babylonians and Egyptians met this challenge by developing systems of deposit banking. The agricultural commodities could be deposited in a central location (temples in Babylon or the Pharaoh's silos).<sup>37</sup> Payments could then be settled in the records as depositors traded their deposited commodities for goods and services. Although metallic coins pose fewer transportation and storage issues than grain, these issues remain nonetheless. It is not surprising that when metallic coins replaced agricultural products, eventually a deposit system would

<sup>34</sup> *Ibid.*, 169–70.

<sup>35</sup> *Ibid.*

<sup>36</sup> See Davies, *History of Money*, 89ff., 171, 198ff. (describing the debasement of the Roman coinage in the late empire and under Henry VIII of England).

<sup>37</sup> See Davies, *History of Money*, 50ff.

develop particularly for high value transactions. Roman law provided a contractual precedent in the form of the *depositum*,<sup>38</sup> whence we get the English word "deposit." Eventually goldsmiths and other early bankers developed the business of taking species (or coined money) as deposits, and like ancient Egyptian banking either recording account balances or issuing transferrable receipts for withdrawal. Since the receipts or book entries entitled the holder to redeem them for the amount of money in coins specified, the receipts or accounts could be used to settle economic transactions in lieu of exchanging the actual coins.<sup>39</sup> A variety of forms of paper were developed that could be traded in exchange, bills of exchange, goldsmith receipts, and banknotes. These pieces of paper were not actually money because, as we shall see in the next section, they were not authorized by the government as money. Yet, the various paper substitutes were all exchangeable directly (at the issuer) or indirectly (through a central bank) for real money.<sup>40</sup> This exchangeability into species was the basis for the paper being used as a money substitute. Although not legally money, the substitutes found a wide acceptability in the marketplace as they offered the same economic functionality of money but with greater convenience in their storage and transportation.

The separation of value (the precious metal) from the medium of exchange (the paper) created a further possibility for instability in the value of the money substitutes. For example, during the so-called Free Banking Era of the nineteenth century, there were thousands of different banks whose banknotes (paper redeemable in legal money) were circulating as money substitutes. The value of these notes varied dramatically depending on the general estimation of the ability of the issuing bank to redeem the notes for real money. Some banknotes were accepted at par, whereas others were virtually worthless.<sup>41</sup>

The second type of paper money substitute is based on the extension of credit or promises-to-pay. The banknotes and bills of exchange discussed above evolved out of the Roman law contract of *depositum* and represented a

right to receive the return of species deposited with the issuer. Eventually deposit-taking businesses realized they could increase the supply of money (and hence their business) by issuing more receipts than money deposited. A different type of instrument (although similar in form) developed as a money substitute. Rather than representing the return of deposited property, it merely represented a promise of the issuer to pay money at a future time. In England the wooden tally stick was used to record the amount of taxes assessed by the government and payable by the taxpayer later in the year. The royal government adopted the practice of paying its own obligations by transferring the tally stick to its debtor. The new owner of the tally could now keep it and collect the assessed taxes himself or return it to the government in payment of his own taxes.<sup>42</sup> Wooden sticks representing the right to collect money in taxes became a medium of exchange in this way. Eventually as governments needed to spend more money than taxes taken in, the deficit was met by borrowing. This borrowing was often represented by paper instruments, variously called notes, bills of credit, or bills of exchange. These pieces of paper represented promises-to-pay fixed sums of money either at stated times or upon demand with or without interest. Since governments are usually considered stable and thus unlikely to default, these promises-to-pay species were often used as media of exchange to settle transactions. For example, to finance the Revolutionary War, the Continental Congress issued bills of exchange, known as Continentals, which represented promises of the new government to pay stated amounts in coins. The Continentals were used to pay the army and meet other government expenses. These bills of exchange were transferrable and thus designed to function as media of exchange.<sup>43</sup> As the promises represented the obligation to pay money that the government did not have, their introduction into circulation increased the supply of media of exchange. We have already seen that the value of precious metal coins, although relatively stable, could fluctuate based on supply and demand pressures and adulteration and debasement. To these factors, the deposit receipts added a new factor to affect value: the potential default of the depository on his obligation to return deposited species. When notes and bills came

<sup>42</sup> See Davies, *History of Money*, 147ff.

<sup>43</sup> See Ali Kahn, "The Evolution of Money: A Story of Constitutional Nullification," *University of Cincinnati Law Review* 67 (1999): 398–99; Davies, *History of Money*, 466–68.

<sup>38</sup> See Reinhard Zimmermann, *The Law of Obligations: Roman Foundations of the Civilian Tradition* (Cape Town: Juta, 1990), 205ff.

<sup>39</sup> See Peter J. Bernstein, *The Power of Gold* (New York: Wiley, 2001), 203–4.

<sup>40</sup> See Chung, "Money as Simulacrum," 119.

<sup>41</sup> See *ibid.*, 128–29; see also Richard S. Carnell, Jonathan R. Macey, and Geoffrey P. Miller, *The Law of Banking and Financial Institutions*, 4th ed. (New York: Aspen, 2009).

to represent the promise to pay money not merely deposited but not yet earned or collected by the promisor, a new factor affecting the value of such a medium of exchange became relevant: the creditworthiness (or likely ability to pay) of the promisor. Once it became evident that the new American government would not be able to honor the Continentals by paying coins in exchange for them, the vast quantity of Continentals lost their value (i.e., the value of goods or services people were willing to trade for them plummeted to almost nothing). Such precipitous devaluation gave rise to the expression "not worth a Continental."<sup>44</sup> Thus, by definition, the value of a medium of exchange consisting solely of promises-to-pay money will only be as stable as the perceived creditworthiness of the issuer.

The government is not the only entity to create media of exchange out of promises-to-pay. Banks realized they could make more loans than they had money to lend by merely issuing banknotes or promises-to-pay coined money. If these banknotes could be traded in the market as media of exchange, they did not actually have to possess the money they loaned. They could create it by printing the banknote. Such a scheme can continue to operate as long as a limited number of people present the banknotes for actual payment, rather than merely using it to buy goods and services in the market. Thus, banks could keep a smaller amount of specie in their vaults than needed to honor all their banknotes.<sup>45</sup> This is called fractional reserve banking, according to which banks have only a fraction of the money on reserve to honor their promises-to-pay.<sup>46</sup> Fractional reserve banking relies on the principle that only a small number of people will ask for their deposits. In this way, "[b]anks create money when they make loans. . . . It is literally creating money out of nothing."<sup>47</sup> As Jeffrey Mark commented decades ago, "No one has really any money to lend to

<sup>44</sup> See Davies, *History of Money*, 467.

<sup>45</sup> See Kahn, "Evolution of Money," 409–10.

<sup>46</sup> Fractional reserve banking uses much more leverage than other businesses. Industrial companies maintain about a 2:1 ratio of borrowed funds to equity, which means they are financed with about 65%–75% of borrowed funds. Banks under current reserve requirements maintain about a 9:1 ratio, which means that they owe \$10 for every \$1 they have. See Carnell, Macey, and Miller, *Law of Banking and Financial Institutions*, 45.

<sup>47</sup> *Ibid.*, 48. It is the ability to loan money that the bank does not have that has made banking so profitable. "Only because of fractional reserves can banking be highly profitable" (*ibid.*, 42).

the bankers on 'deposit' because all money 'owned' by depositors derives from a loan made by the bankers to somebody else."<sup>48</sup> Professor O'Rahilly likewise quipped, "[D]eposit no longer means *depositum* but debt."<sup>49</sup>

These promises-to-pay had become a functional medium of exchange, "in fact a far more important category of money than that issued by the state,"<sup>50</sup> since the state-coined money represented only a fraction of the promise-to-pay functioning as a money substitute. Since fractional reserve banking permits banks to issue more banknotes than they have specie to meet, the potential for bank runs is created.<sup>51</sup> Bank runs occur when promises-to-pay by a bank (such as banknotes) are perceived as becoming worthless. Everyone wanting to get his banknote repaid rushes to the bank to get his note paid with the limited reserves available for payment.

Whereas government-issued notes and bills are supported by at least the expectation that the government will collect taxes and revenues to pay the instruments, banknotes are supported merely by the future profitability of the bank or its ability to avoid a run. Just as deposit receipts and government bills must logically be less stable in value as a medium of exchange than precious metals, likewise, promises of mere private banking firms must be even more unstable.

#### *Federal Reserve System and Modern Valueless Money*

During the nineteenth century when most of the paper media of exchange consisted of banknotes, "there were wild fluctuations in the amount of notes issued by banks, and the quality of the notes ranged from valuable and reliable, on the one hand, to worthless."<sup>52</sup> In response to a financial panic involving bank runs in 1907, the federal government enacted the Federal Reserve Act, which created the Federal Reserve System (FRS).<sup>53</sup> The FRS consists of twelve regional Federal Reserve Banks and the board of governors, which oversees the system. The topic of the FRS is large. Indeed, we will only focus on its role in controlling the money supply.

<sup>48</sup> Jeffrey Mark, *The Modern Idolatry*, quoted in Fahey, *Money Manipulation and Social Order*, 23.

<sup>49</sup> Quoted in Fahey, *Money Manipulation and Social Order*, 22.

<sup>50</sup> See *ibid.*, 20.

<sup>51</sup> See Carnell, Macey, and Miller, *Law of Banking and Financial Institutions*, 46.

<sup>52</sup> See Kahn, "Evolution of Money," 129.

<sup>53</sup> *Ibid.*, 436.

Originally the Federal Reserve Banks functioned as central banks that held the legally required reserve deposits (that make up the fraction of the fractional reserves) and stood ready to lend money (or gold) to member banks if they were short of funds to meet obligations. The whole system still maintained a nexus to gold since Federal Reserve Notes (banknotes issued by the FRS) were redeemable in gold.<sup>54</sup> A bank faced with redemption requests could borrow Federal Reserve Notes from a Federal Reserve Bank. The Federal Reserve Note was a promise of the Federal Reserve Bank to redeem in legal money of the United States, that is, a gold coin. Then came the Great Depression. One of the measures enacted was an abandonment of internal gold redemption. The promise to redeem Federal Reserve Notes in gold was abolished and deleted from the notes. It was illegal to contract for the payment of gold, and coins were confiscated.<sup>55</sup> The United States government still agreed to exchange US dollars for gold in international transactions until 1971, when the final curtain came down on the gold standard and US dollars ceased to have any legal connection to gold.<sup>56</sup> Thus, Federal Reserve Notes ceased to be redeemable for gold. After the abandonment of gold redemption, what then do the familiar green bills in our wallets legally signify? Federal law mandates that Federal Reserve Notes "shall be redeemed in lawful money on demand."<sup>57</sup> Federal law then defines these same Federal Reserve Notes as "lawful money."<sup>58</sup> Thus, the dollar bill at home in a piggy bank represents the right to demand that the Federal Reserve Bank redeem it for another Federal Reserve Note. If that sounds circular, that is because it is!

Now putting these elements together, here is how America's (and likewise most of the rest of the world's) monetary system works. Banks create money by lending to customers. When a customer needs a loan, the lending bank just creates the money to lend out of thin air by noting in its records that the borrower's account has been increased by the loan amount. The bank is limited by how much money it can create to lend by fractional reserve requirements. The amount of money it can create is lim-

<sup>54</sup> See *ibid.*, 436–37.

<sup>55</sup> See Lewis D. Solomon, "Local Currency: A Legal and Policy Analysis," *Kansas Journal of Law and Public Policy* 5 (1996): 64.

<sup>56</sup> *Ibid.*, 65.

<sup>57</sup> 12 U.S.C. § 411 (1934).

<sup>58</sup> 31 U.S.C. § 5103 (1982).

ited by the amount of reserves it owns. Reserves essentially are the amounts credited to its account at a Federal Reserve Bank plus physical Federal Reserve Notes it possesses in its vaults.<sup>59</sup> All credits at Federal Reserve Banks can be withdrawn in Federal Reserve Notes, which as we have seen represent the right to exchange them for other Federal Reserve Notes. Thus, the FRS can print as many notes as it needs since the only thing the notes promise is to print more like them. Now banks can increase the amount credited to their Federal Reserve Bank accounts in several ways. The most common method would be to sell government securities they own back to the Federal Reserve Bank. The Federal Reserve Banks do not themselves have reserve requirements since they are the reserve banks and they therefore can purchase as many government securities as they want and pay for them with a credit on their records to the seller, such credit being redeemable only in Federal Reserve Notes.<sup>60</sup> Although there is more complexity to the monetary system, this explanation demonstrates the essential elastic nature of the currency.<sup>61</sup> The FRS can make more money by buying US government securities (thereby creating bigger reserve account balances for member banks). It buys these securities with promises-to-pay, Federal Reserve Notes, which it is capable of printing without limit (in the unlikely event a bank actually demands payment in physical notes). Member banks can then create more money to loan to their customers as a result of the larger account balances with a Federal Reserve Bank. If the FRS wants to reduce the amount of money in the country, they can sell US government securities to member banks that pay for them by reducing the balances in their reserve accounts. This reduction reduces the amount of money banks can lend.

To give a sense of the importance of bank-created money, which is essentially a bank's promise to pay Federal Reserve Notes upon withdrawal from accounts at the bank, we can briefly examine some statistics published by the Federal Reserve. As of December 2010, there was \$916 billion of physical currency in circulation, whereas the total of all other components of what the FRS considers money equivalents (M1 and M2)

<sup>59</sup> See Solomon, "Local Currency," 65.

<sup>60</sup> See *ibid.*

<sup>61</sup> In fact, the stated purpose of the Federal Reserve System is to "furnish an elastic currency." Federal Reserve Act, ch. 6, 38 Stat. 251 (1913).

was \$9,732 billion.<sup>62</sup> Thus, physical currency only accounted for approximately 8.6% of the total money and money substitutes (limited only to M1 and M2) in the US economy. In 2000, the amount of currency was only \$597 billion, whereas the other components of M1 and M2 were only \$5,436 billion.<sup>63</sup> As noted earlier, even though the amount of bank credit functioning as money is connected in a sense to the amount of physical currency, the FRS system has the ability to increase the currency by printing more Federal Reserve Notes to satisfy its obligations to its depositors. Under the gold standard it was not possible to print new gold out of thin air. A gold coin could be stretched by debasement, but there was some physical limit to such a process. No such limit exists in the current monetary system built on promises to issue promises.

As should be obvious, physical currency is virtually insignificant in importance in comparison to the money substitute of credit at banks created

<sup>62</sup> Figures derived from "Federal Reserve Statistical Release: Money Stock Measures," release date June 2, 2011, [www.federalreserve.gov/releases/h6/Current/](http://www.federalreserve.gov/releases/h6/Current/). M1 is comprised of (1) currency outside the US Treasury, Federal Reserve Banks, and the vaults of depository institutions; (2) traveler's checks of nonbank issuers; (3) demand deposits at commercial banks (excluding those amounts held by depository institutions, the US government, and foreign banks and official institutions), less cash items in the process of collection and Federal Reserve float; and (4) other checkable deposits (OCDs), consisting of negotiable order of withdrawal (NOW) and automatic transfer service (ATS) accounts at depository institutions, credit union share draft accounts, and demand deposits at thrift institutions. M2 is comprised of M1 plus (1) savings deposits (including money market deposit accounts); (2) small-denomination time deposits (time deposits in amounts of less than \$100,000), less individual retirement account (IRA) and Keogh balances at depository institutions; and (3) balances in retail money market mutual funds, less IRA and Keogh balances at money market mutual funds. All figures are taken from those that have been seasonally adjusted by the Federal Reserve. These calculations do not reflect all money substitutes, since they exclude things such as bank deposits over \$100,000.

<sup>63</sup> Figures are taken from Monetary Trends published by the Federal Reserve Bank of St. Louis, August 2001. For this year, M1 was defined to include the sum of currency held outside the vaults of depository institutions, Federal Reserve Banks, and the US Treasury; traveler's checks; and demand and other checkable deposits issued by financial institutions, except demand deposits due to the Treasury and depository institutions, minus cash items in process of collection and Federal Reserve float. M2 was defined to include M1 plus savings deposits (including money market deposit accounts) and small denomination (less than \$100,000) time deposits issued by financial institutions, and shares in retail money market mutual funds (funds with initial investments of less than \$50,000) and net of retirement accounts.

out of thin air by the banks themselves as loans to their depositors. Further, there is no external limit to the amount of money this system can create. Whereas the volume of gold coins is limited to the amount of gold a country acquires through production or export trade (with some room for tinkering by shrinking the size of each coin), our current system is limited only to the extent the policy makers in the FRS think they should limit the money supply. There is no external limit, no direct connection to the productivity of the economy. Money and money substitutes have lost all connection to reality. When examining the application of usury principles to money over time we must keep in mind this transition from the lending of a fixed physical commodity to the lending of modern ethereal money.

### Legal Tender

We began this chapter by defining money as a medium of exchange authorized or approved by government. We have spent some time examining the nature and history of money as a medium of exchange. We must now turn to the second half of the definition, authorization by government. It is government intervention, law, that transforms functional media of exchange to legal money.

Legal tender is a status conferred upon a medium of exchange that entitles the holder to use it to discharge a debt.<sup>64</sup> If proffered, the legal tender money must be accepted in discharge of a debt.

The coinage of precious metals and the prescription of their use to settle debts have always been associated with the royal prerogative.<sup>65</sup> The prerogative to coin has long been associated with the regulation of weights and measures.<sup>66</sup> Standard weights and measures for the sale of goods was in a sense the other side of the coin (pun intended) to standard shape, weight, and content of coins.<sup>67</sup> Since two of the attributes of a useful medium of exchange are standardization and wide acceptability, a regularized definition of the weight and content of a precious metal coin will obviously increase these attributes. "In the early medieval period the establishment of control of weights, measures, and coinage coincided with the

<sup>64</sup> See S. P. Breckenridge, *Legal Tender: A Study in English and American Monetary History* (Chicago: University of Chicago Press, 1903), 2.

<sup>65</sup> See *ibid.*; also, Kahn, "Evolution of Money," 437.

<sup>66</sup> See Wood, *Medieval Economic Thought*, 89.

<sup>67</sup> See *ibid.*, 89–90.

establishment of sovereign powers over a people."<sup>68</sup> Thus, one aspect of legal tender laws is the use of the law to establish standards for the form and content of money so that it can be easily recognized and accepted. As William Blackstone commented, "The coining of money is in all states the act of the sovereign power; for this reason just mentioned, that the value may be known on inspection."<sup>69</sup> The abuse of this aspect of legal tender is illustrated by the historical eras, as under Henry VIII, in which debasement was used by the sovereign for profit. The regulation of the content and weight of coins was not undertaken to increase standardization or acceptability but to benefit the ruling authority to increase its spending power by use of debased coins. As Glyn Davies explains in his monumental account of the history of money, the Henrician government had to "hide from the public the degree of debasement actually being achieved, at least long enough for the king to receive his initial gains."<sup>70</sup> The rightful use of monetary legislation can be perverted when the government alters the content of the money for its own financial advantage, or in other words as a "hidden form of taxation."<sup>71</sup>

The second aspect of legal tender law is the mandated acceptance of the designated form of money. To be declared a legal tender means that the medium of exchange "carries . . . the right to use it in any lawful transaction . . . between private individuals or between an individual and the government."<sup>72</sup> Stated negatively, if one tenders an item designated as legal tender in a jurisdiction, the creditor may not refuse payment in such form and must accept it. People are free to agree to exchange nonlegal tender media of exchange but not free to refuse legal tender to extinguish an obligation. Again, this aspect of legal tender law can have both a useful and an abusive application. By requiring the acceptance of legal tender money, the law can facilitate the settling of obligations and the furthering of exchange transactions. The law supports the wide acceptability of a chosen medium of exchange by making it legal tender. Its abuse occurs when the law is used to prop up a debauched currency that has lost all inherent value as a medium of exchange because of excessive adulteration, debase-

<sup>68</sup> *Ibid.*, 90.

<sup>69</sup> Blackstone, *Commentaries on the Laws of England*, 266.

<sup>70</sup> Davies, *History of Money*, 199.

<sup>71</sup> *Ibid.*

<sup>72</sup> See Breckenridge, *Legal Tender*, 3.

ment, or overissue. As with the Continentals and the Revolutionary War, the Civil War brought intense financial pressure to bear on the federal government. Not learning from the disaster of the Continentals, the Civil War government issued extensive paper promises-to-pay, so-called greenbacks, which were not redeemable in coins to pay for the war.<sup>73</sup> The legal tender power was mustered by Congress to prop up the greenbacks, and they were declared legal tender.<sup>74</sup> After a false start, the US Supreme Court finally ruled that Congress could pass a law prohibiting a person from demanding the payment of a debt in that number of greenbacks that would be equivalent in value to a payment in coin of the same nominal amount.<sup>75</sup> The Supreme Court thus held that the federal government could force people to accept paper promises whose value had dramatically fallen below its nominal value and thus suffer great economic loss.

Legally, the US Constitution entrusts the federal government with the right of coining money, fixing its value, and establishing weights and measures.<sup>76</sup> This places in federal hands exclusively the first aspect of legal tender law, the determination of the weights and measures of lawful coins as well as the right to mint coins. The Constitution seems to place the second aspect of legal tender (specifying which media of exchange must be accepted) in the jurisdiction of state governments by declaring that the states cannot make legal tender anything other than gold or silver coin.<sup>77</sup> Such a restriction implies the states can make gold or silver legal tender. The states are also prohibited from issuing paper money.<sup>78</sup> These prohibitions were inserted in reaction to the "floods of depreciated paper-money, with which most of the states . . . were inundated."<sup>79</sup> The Constitution thus appears to contemplate the states passing legal tender laws designating only gold or silver coin as such. Yet, the federal government has usurped the power to determine legal tender by adopting a legal tender

<sup>73</sup> See Davies, *History of Money*, 490-91; Chung, "Money as Simulacrum," 131.

<sup>74</sup> See Chung, "Money as Simulacrum," 131.

<sup>75</sup> *Knox v. Lee*, 79 U.S. 457 (1870).

<sup>76</sup> U.S. Const., art. I, § 8.

<sup>77</sup> *Ibid.*, art. I, § 10, cl. 1.

<sup>78</sup> *Ibid.* (prohibiting states from emitting bills of credit); see *Briscoe v. Bank of Commonwealth of Kentucky*, 36 U.S. 257, 314 (1837) (defining prohibited bills of credit as paper issued on the credit of a state intended to circulate as money).

<sup>79</sup> Joseph Story, *Commentaries on the Constitution of the United States*, vol. 2, 5th ed. (Boston: Little Brown, 1891), 1119.

statute that declares as legal tender minted coins of the United States and Federal Reserve Notes.<sup>80</sup> Yet, Congress has restricted the designation of legal tender coins to those minted with alloyed minerals (e.g., dimes, nickels, pennies); the federal mint may only produce gold and silver coins as numismatic collectables but not legal tender.<sup>81</sup> Thus, the federal government has turned a restriction on the states, prohibiting them from declaring anything but gold and silver legal tender, into a law mandating that only two items which are not gold and silver be legal tender (paper promises of the FRS and alloyed minerals). When Missouri attempted to exercise the right to designate silver coin as legal tender, their statute,<sup>82</sup> declaring US silver coins to be legal tender for payment of public and private debts contracted in Missouri, was held ineffective and unconstitutional under supremacy principles,<sup>83</sup> proclaiming Federal Reserve Notes, as well as certain alloyed US coins, as legal tender.<sup>84</sup> As a result, a dentist could not compel the state treasurer to make Medicaid payments to the dentist exclusively in silver coins of the United States.<sup>85</sup> So ends state legal tender law! Thus, the legal tender power, which the Constitution appears to have vested in the states, has been assumed by the federal government to produce a monetary system in which the only money that exists is small denomination nonprecious coins and promises to redeem the promises with like promises (Federal Reserve Notes). Banking law then permits banks to fabricate book entry money to lend in exchange for a promise to repay the loan plus interest charges. The production of money was long held to be a prerogative of the sovereign. Only the government could mint legal money. It was believed that money should be controlled by government not private individuals. Even though kings and princes could abuse this power by debasement for personal gain, the abuse was believed greater if money was placed in private hands, where it could be more widely manipulated for private gain.<sup>86</sup> Yet, the FRS is not the government. It is a partnership of the government with private banks. It is comprised of

<sup>80</sup> 31 U.S.C. § 5103 (1982).

<sup>81</sup> *Ibid.*, § 5112.

<sup>82</sup> V.A.M.S. § 408.010 (2001).

<sup>83</sup> 31 U.S.C.A. § 5103 (1982).

<sup>84</sup> *May v. Bailey*, 693 S.W.2d 246 (Mo. Ct. App. 1985).

<sup>85</sup> *Ibid.*

<sup>86</sup> See Fahey, *Money Manipulation and Social Order*, 12,

twelve regional Federal Reserve Banks that are all private corporations. These powerful central banks are controlled by a small collection of powerful private banks and banking families. The *Hawaii Daily News* summarized information on the ownership of the Reserve Banks thus:

J. W. McCallister, an oil industry insider with House of Saud connections, wrote in *The Grim Reaper* that information he acquired from Saudi bankers cited 80% ownership of the New York Federal Reserve Bank—by far the most powerful Fed branch [*sic*—by just eight families, four of which reside in the US. They are the Goldman Sachs, Rockefeller, Lehmans and Kuhn Loeb of New York; the Rothschilds of Paris and London; the Warburgs of Hamburg; the Lazards of Paris; and the Israel Moses Seifs of Rome.

CPA Thomas D. Schauf corroborates McCallister's claims, adding that ten banks control all twelve Federal Reserve Bank branches. He names N.M. Rothschild of London, Rothschild Bank of Berlin, Warburg Bank of Hamburg, Warburg Bank of Amsterdam, Lehman Brothers of New York, Lazard Brothers of Paris, Kuhn Loeb Bank of New York, Israel Moses Seif Bank of Italy, Goldman Sachs of New York and JP Morgan Chase Bank of New York. Schauf lists William Rockefeller, Paul Warburg, Jacob Schiff and James Stillman as individuals who own large shares of the Fed. The Schiff's are insiders at Kuhn Loeb. The Stillmans are Citigroup insiders, who married into the Rockefeller clan at the turn of the century.<sup>87</sup>

The member banks of the FRS (all federal and any state banks that elect to join) create money as loans based on their reserves in the FRS. These banks are private for-profit institutions. The FRS is overseen and run by a combination of directors, officers, and governors, some of whom are appointed by the government and some appointed by the controlling private bank members.<sup>88</sup> The government supplies the right to print money and the requirement that everyone must accept the paper printed. For the first time since the dawn of recorded history, the government has placed its sovereign power to make and define money in the hands of those who lend it for profit.

<sup>87</sup> Dean Henderson, "The Federal Reserve Cartel: Part 1: The Eight Families," June 3, 2011, available at [deanhenderson.wordpress.com/2011/06/01/the-federal-reserve-cartel-part-i-the-eight-families/](http://deanhenderson.wordpress.com/2011/06/01/the-federal-reserve-cartel-part-i-the-eight-families/); quoted in the *Hawaii Daily News*, June 1, 2011.

<sup>88</sup> For an overview of the structure of the FRS, see *The Federal Reserve System: Powers and Functions*, 9th ed. (Washington, DC: Board of Governors of the Federal Reserve System, 2005), available at [www.federalreserve.gov/pf/pf.htm](http://www.federalreserve.gov/pf/pf.htm).

## Conclusion

Money is an invention of the art of man to improve his material position by making the exchange of goods and services easier. It is an artificial instrumental means that has as its end the production and distribution of natural wealth. To achieve its function of facilitating exchange, a systemized set of objects or symbols must be developed that are universally and easily recognized, computed, divided, or combined and that maintain a relatively stable value over time. Since all exchanges are not simultaneous, an important aspect of money is its function as a store of value for future use. As a store of value over time, the stability of the chosen type of money is critical.

Many objects can serve as money; yet, the suitability of a chosen form of money depends on the extent to which it fulfills the functions of a medium of exchange and store of future value. Fluctuations in the value of money are inevitable. Yet, the greater the fluctuation the more difficult it becomes to gauge and compare values of things measured by money and the harder it becomes to complete fair exchanges.

Money is a type of commodity consumed in use. It cannot be used and still owned. The evaluation of its use then depends on what it is used for. Two major categories of use can be identified. Money can be used to buy nonwealth-producing assets in which it is completely consumed in use. Alternatively, money can be used to acquire the use or ownership of wealth-producing assets. In this case the money is consumed but in a way that contributes to the production of more wealth. In the latter use, money becomes capital.

The history of money has shown that two devices have long been employed to moderate the vacillation in the value of money. The increase in the supply of money has been connected to a varying extent to wealth production and stable and universal commodities. Gold and silver served in this role for over two thousand years. Dramatic increases in coins were connected to the discovery and commercialization of new deposits. Secondly, control of money had been vigilantly guarded by governments as a central prerogative of sovereignty. The government retained the power to define and divide monetary units and to attach legal tender status to the chosen species. Although some nefarious tinkering always accompanied the government's control, the level of debasement and adulteration undertaken in the sixteenth century for the Crown's benefit reached new levels.

The American experience of the Continentals and greenbacks demonstrated the dire inflationary dangers of unchecked printing of worthless promise paper backed by the hammer of legal tender laws.

The history of money has long been overshadowed by money substitutes, aids to enhance the effectiveness of money. From the giro banking of the Egyptian grain stores to the goldsmith receipts, paper or accounting entries were often used to ease the transaction costs of settling exchanges in coins. Yet, the facilitators realized the opportunity to maximize the role of money substitutes and to produce more receipts and promises than actual money in hand. After the sixteenth century these money substitutes began to expand exponentially and overtake the actual money, for which they were a substitute until in the mid-twentieth century the substitutes backed solely by the force of legal tender laws replaced all "real" money. For centuries money was some commodity possessing its own intrinsic value beyond exchange value. Money substitutes became promises to deliver real money. Today both money (Federal Reserve Notes) and money substitutes are created out of thin air. Most importantly they are created as part of credit transactions, either to settle a debt to purchase government debt obligations or as a credit to a bank account of a borrower as proceeds of a loan. Whereas money previously was or represented commodity wealth, today money represents debt. The only limit to the amount of debt money is the FRS judgments about how much credit (how many loans) banks should make available. Since all that debt carries with it interest charges, the monetary system is a hungry beast needing to constantly be fed more debt money to service the interest charges on the prior debt.

This change in the nature of the art of money has taken place gradually over centuries. Yet, its accelerated transformation can be traced to the sixteenth century, when debasement of coin and generation of money substitutes tied to debt ascended new levels.

The new fluctuating nature and value of money ushered in by these changes has made valuation of money and everything else it measures extremely difficult ever since. If money is a measure, it has now become an ever elusive measure.

As we now turn to the difficult issue of profit on a loan or usury, these complex issues surrounding the nature and history of money must be kept in mind. Although the remainder of this book will focus on the problems

of usury and loans, the problem of money is intimately connected with the analysis. Modern money is a problem. A group of English public figures saw the problem and its wider social ramifications in the mid-twentieth century just as the modern money as debt system was gearing up for high speeds, having recently been freed from the, albeit limited, discipline of the gold standard. They pleaded in a public letter for attention to be focused on restoring integrity to the money system. Their plea has not yet been taken up:

We . . . have been forced to the conclusion that an essential first step towards the return of human happiness and brotherhood with economic security and liberty of life and conscience . . . is the immediate resumption by the community in each nation of its prerogative over the issue of money including its modern credit substitutes. This prerogative has been usurped by those still termed in general "bankers," both national and international, who have perfected a technique to enable themselves to create the money they lend by the granting of bookkeeping credits. . . . In this way a form of national money debt has been invented in which the lender surrenders nothing at all; and which it is physically an impossibility for the community ever to pay.<sup>89</sup>

<sup>89</sup> Letter of English scholars and activists to the Apostolic Delegate to Great Britain, the Anglican Archbishops of Canterbury, York, and Wales, and other ecclesiastical dignitaries in Great Britain, reprinted in Fahey, *Money Manipulation and Social Order*, 2.

## CHAPTER THREE

# The Traditional Natural Law Theory of Usury—No Profit on a Loan

## A Brief Survey of Approaches to Usury in the Ancient World

OUR explanation of the natural law theory of usury begins in the ancient world. First we will summarize the most influential theories of credit regulation of the ancient world. The variations within the contemporary debates about usury are as old as the world and have their counterparts in the ancient approaches. The modern heirs of these theories are identified. The breadth of approach is great, ranging from no restraint to complete prohibition. Second, we must examine the ancient ingredients that were used by the Catholic natural law jurists, philosophers, canonists, and theologians in developing a theory of credit and usury. As we shall see, the main ingredients consist of biblical texts, Roman law, and Aristotelian philosophy.

## The Ancient Version of Laissez-Faire

The laissez-faire approach to usury of the ancient world allowed the market to rule transactions in money and allowed fees and profits without limit. For example, the Athenians allowed transactions in credit to proceed unregulated.<sup>1</sup> Although Athens became known for its sophisticated commercial credit market, it was infamous for the highest consumer interest rates in the ancient world, at 9,000%.<sup>2</sup> Athens would likely embody the

<sup>1</sup> See Sidney Homer and Richard Sylla, *A History of Interest Rates*, 4th ed. (Piscataway: Rutgers University Press, 2005), 32–39.

<sup>2</sup> See Christopher L. Peterson, "Truth, Understanding, and High-Cost Consumer Credit: The Historical Context of the Truth in Lending Act," *Florida Law Review* 55 (2003): 832–33.